Type MS · The three inventories of a manufacturer

Answer 1 of 3 · Question 1 part a · 3 marks

2023 JUN · Paper 02 · extract 1 of 4 · find part a in this mark scheme extract

Number		
1(a)	**Award marks as indicated.** **Sample answer** Raw materials are purchased to be converted into finished goods **(1)** whereas work in progress is partly completed goods **(1)** and finished goods are those goods which are completed.**(1)** **Accept any other appropriate responses**	**(3)**

Type MS · The three inventories of a manufacturer

Answer 1 of 3 · Question 1 part a · 3 marks

2023 JUN · Paper 02 · extract 2 of 4 · find part a in this mark scheme extract

Question Number	Answer	Mark
1(b)	**Award marks as indicated.**	**(11)**

Dingle

Manufacturing account for the year ended 31 January 2023

	$	$
Raw materials		
Opening inventory of raw materials	21 200	
Purchases of raw materials	198 045	
	219 245	
Closing inventory of raw materials	(23 600)	
Cost of raw materials consumed		195 645 **(1)**
Direct wages		89 700
Direct expenses/royalties		41 300
Prime cost		326 645 **(1)**
Overheads		
Rent	36 800 **(1)**	
General expenses	32 400 **(1)**	
Power	41 500 **(1)**	
Insurance	6 240 **(1)**	
Supervisor salary	23 170 **(1)**	
Depreciation – machinery	19 200 **(1)**	159 310
		485 955 **(1of)**
Add: opening work in progress	19 100	
Less: closing work in progress	(18 400)	700 **(1)**
Production cost		486 655 **(1of)**

Type MS · The three inventories of a manufacturer

Answer 1 of 3 · Question 1 part a · 3 marks

2023 JUN · Paper 02 · extract 3 of 4 · find part a in this mark scheme extract

Question Number	Answer	Mark
1(c)	**Award marks as indicated.**	**(9)**

Dingle

Income statement for the year ended 31 January 2023

	$	$
Revenue		729 595
Cost of sales		
Opening inventory finished goods	23 000	
Production cost	486 655 **(1)**	
Closing inventory finished goods	(31 750)	(477 905) **(1of)**
Gross profit		251 690 **(1of)**
Expenses		
General expenses	3 600 **(1)**	
Rent	9 200 **(1)**	
Insurance	1 560 **(1)**	
Wages	16 590 **(1)**	
Depreciation – office equipment	6 750 **(1)**	37 700
Profit for the year		213 990 **(1of)**

Type MS · The three inventories of a manufacturer

Answer 1 of 3 · Question 1 part a · 3 marks

2023 JUN · Paper 02 · extract 4 of 4 · find part a in this mark scheme extract

Question Number	Answer	Mark
1(d)	**Award 1 mark for identification and 1 mark for development** **Sample answer** The manufacturer may have been unable to produce enough goods to meet demand **(1)** which could have been due to production problems **(1)** **Accept any other appropriate responses**	**(2)**

TOTAL FOR QUESTION 1 = 25 MARKS

Type MS · The three inventories of a manufacturer

Answer 2 of 3 · Question 2 part a · 3 marks

2020 JAN · Paper 02 · extract 1 of 2 · find part a in this mark scheme extract

2(a)	**Award marks as indicated.** Raw materials are the **resource** needed to make finished goods. **(1)** Work in progress is goods which are **partly completed** at the end of the financial year. **(1)** Finished goods are goods which are fully **completed** and ready for sale. **(1)** **Accept any other appropriate responses.**	**(3)**

Question number	Answer	Mark
2(b)	**Award marks as indicated.** **Award 1 mark for all correct labels.**	**(11)**

Jeff
Manufacturing account for the year ended 31 December 2019

	$	
Opening inventory of raw materials	18 750	
Purchases	238 795	
Carriage inwards	8 955	
Closing inventory of raw materials	(16 250)	
Cost of raw materials consumed	250 250	**(1)**
Direct expenses / royalties	50 000	**(1)**
Direct wages	99 250	**(1)**
Prime cost	399 500	**(1of)**
Depreciation on factory machinery	9 216	**(1)**
Insurance	10 000	**(1)**
Supervisor wages	30 900	**(1)**
Heat, light and power	28 400	**(1)**
	478 016	
Opening inventory of work in progress	21 570	**(1for both)**
Closing inventory of work in progress	(18 590)	
Cost of production	480 996	**(1of)**

Type MS · The three inventories of a manufacturer

Answer 2 of 3 · Question 2 part a · 3 marks

2020 JAN · Paper 02 · extract 2 of 2 · find part a in this mark scheme extract

<table>
<tr><th>Question number</th><th>Answer</th><th>Mark</th></tr>
<tr><td>2(c)</td><td>Award marks as indicated.
<table>
<tr><th></th><th>Non-current assets</th><th>Current assets</th><th>Non-current liabilities</th><th>Current liabilities</th></tr>
<tr><td>Accumulated depreciation</td><td>✓ (1)</td><td></td><td></td><td></td></tr>
<tr><td>Bank loan 2026</td><td></td><td></td><td>✓ (1)</td><td></td></tr>
<tr><td>Work in progress</td><td></td><td>✓ (1)</td><td></td><td></td></tr>
<tr><td>Bank overdraft</td><td></td><td></td><td></td><td>✓ (1)</td></tr>
<tr><td>Other receivables</td><td></td><td>✓ (1)</td><td></td><td></td></tr>
<tr><td>Provision for irrecoverable debts</td><td></td><td>✓ (1)</td><td></td><td></td></tr>
</table></td><td>(6)</td></tr>
</table>

Question number	Answer	Mark
2(d)	**Award 1 mark for a general statement regarding the reason why it is necessary. Further 3 marks for discussion to develop the reason and the final 1 mark for a conclusion.** **Sample answers** This is an application of the accruals concept **(1)**. To apply this concept, it is necessary to transfer to the income statement only the amounts covered by that period **(1)**. This allows a more meaningful comparison of financial statements year on year **(1)** and allows the business to present a true and fair view of its financial position **(1)**. It is necessary to account for other receivables and other payables to present a more accurate view of profit and loss and/or current assets and liabilities **(1)**.	**(5)**

(Total for Question 2 = 25 marks)

Type MS · The three inventories of a manufacturer

Answer 3 of 3 · Question 1 part d · 2 marks

2023 JUN · Paper 02 · extract 1 of 4 · find part d in this mark scheme extract

Number		
1(a)	**Award marks as indicated.** **Sample answer** Raw materials are purchased to be converted into finished goods **(1)** whereas work in progress is partly completed goods **(1)** and finished goods are those goods which are completed.**(1)** **Accept any other appropriate responses**	**(3)**

Type MS · The three inventories of a manufacturer

Answer 3 of 3 · Question 1 part d · 2 marks

2023 JUN · Paper 02 · extract 2 of 4 · find part d in this mark scheme extract

Question Number	Answer	Mark
1(b)	**Award marks as indicated.**	**(11)**

Dingle

Manufacturing account for the year ended 31 January 2023

	$	$
Raw materials		
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Type MS · The three inventories of a manufacturer

Answer 3 of 3 · Question 1 part d · 2 marks

2023 JUN · Paper 02 · extract 3 of 4 · find part d in this mark scheme extract

Question Number	Answer	Mark
1(c)	**Award marks as indicated.**	(9)

Dingle

Income statement for the year ended 31 January 2023

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Profit for the year		213 990 **(1of)**

Type MS · The three inventories of a manufacturer

Answer 3 of 3 · Question 1 part d · 2 marks

2023 JUN · Paper 02 · extract 4 of 4 · find part d in this mark scheme extract

Question Number	Answer	Mark
1(d)	**Award 1 mark for identification and 1 mark for development** **Sample answer** The manufacturer may have been unable to produce enough goods to meet demand **(1)** which could have been due to production problems **(1)** **Accept any other appropriate responses**	**(2)**

TOTAL FOR QUESTION 1 = 25 MARKS